

Bank of Leeds Investment Proposal

Yorkshire Fusion Restaurants Ltd

Building Yorkshire's First Scalable Premium Regional Restaurant Group

Investment Committee Business Case

Prepared for: Bank of Leeds – Yorkshire Growth Capital Division

Sector: Hospitality / Food Manufacturing / Tourism / Regional Brand Development

Investment Type: Growth Capital + Property Finance

Investment Horizon: 5–7 years

Executive Summary

This proposal outlines the expansion of **Yorkshire Fusion Food Co.** from a successful three-unit street-food operation into a **multi-location Yorkshire restaurant group** with 10+ venues across Yorkshire.

The strategic objective:

Create Yorkshire's answer to Nando's, Wagamama or Dishoom — a recognisable restaurant brand built around Yorkshire identity, local produce and modern global cuisine.

The restaurant concept combines:

- Yorkshire heritage,
- premium casual dining,
- locally sourced ingredients,
- modern interiors,
- tourism appeal,
- scalable operating systems.

The proposed expansion:

10 restaurants across Yorkshire within five years.

Target annual turnover:

£25–35 million

Target EBITDA:

£5–7 million

Potential company valuation:

£50–70 million

1. Investment Thesis

Why Yorkshire Fusion Restaurants?

Yorkshire has a powerful identity:

- Yorkshire pudding
- Wensleydale cheese
- Yorkshire beef
- seafood
- breweries
- farming heritage

Yet there is no dominant Yorkshire restaurant chain.

Existing regional food businesses are often:

- independent,
- small scale,
- fragmented.

The opportunity:

Build a national-quality restaurant group using Yorkshire as the brand.

2. Restaurant Concept

Brand:

Yorkshire Fusion

Tagline:

"Yorkshire roots. Global flavours."

Customer Positioning

Premium casual dining:

Between:

- Wagamama
- Pizza Express
- Hawksmoor
- local gastro pub

Average customer spend:

£35 per person

Menu Example

Yorkshire Sunday Roast Bao

Slow Yorkshire beef

£18

Yorkshire Pudding Sharing Experience

Giant Yorkshire pudding:

- roast meats
- vegetables
- gravy
- sauces

£32

Yorkshire Katsu

Local chicken:

Japanese-inspired curry

£17

Whitby Seafood Curry

£22

Yorkshire Cheese Board

£14

Drinks

High-margin products:

- York Gin cocktails
- Yorkshire ales
- local wines
- craft soft drinks

Average drink spend:

£10/person

Average Customer Transaction

Food:

£28

Drinks:

£10

Average:

£38 per customer

3. Expansion Strategy

Phase 1: Flagship Locations (Years 1–2)

Five restaurants:

1. York
2. Leeds

3. Sheffield
 4. Harrogate
 5. Scarborough
-

Phase 2: Regional Expansion (Years 3–5)

Five additional locations:

6. Bradford
 7. Hull
 8. Whitby
 9. Huddersfield
 10. Doncaster
-

4. Restaurant Size Model

Typical venue:

3,500–5,000 sq ft

Capacity:

120 seats

Operating hours:

Lunch:

12–3

Dinner:

5–11

Trading days:

360/year

5. Capital Expenditure Model

Cost Per Restaurant

Property

Lease premium/deposit:

£150,000

Construction Fit-Out

Kitchen:

£250,000

Interior design:

£350,000

Furniture:

£150,000

Lighting/signage:

£75,000

Technology:

£50,000

Fit-out:

£875,000

Total Opening Cost

Per restaurant:

Item	Cost
Property costs	£150k
Fit-out	£875k
Opening costs	£100k
Total:	

£1.125 million

10 Restaurants

£1.125m × 10

=

£11.25 million

Additional Investment

Central kitchen:

£2 million

Brand marketing:

£2 million

Technology/app:

£500k

Working capital:

£2 million

Total Expansion Capital Requirement

£17.75 million

6. Funding Proposal

Bank of Leeds Facility

£18 million Growth Facility

Structure:

Type	Amount
Property finance	£10m
Equipment finance	£5m
Working capital	£3m

7. Revenue Model Per Restaurant

Customer Numbers

Lunch:

60 customers/day

Dinner:

150 customers/day

Total:

210 customers/day

Annual customers:

210×360

=

75,600 customers

Average spend:

£38

Revenue Per Restaurant

$75,600 \times £38$

=

£2.87 million annually

8. Ten Restaurant Revenue

$10 \times £2.87\text{m}$

=

£28.7 million annual revenue

Additional:

Catering/events

Corporate events:

£1m

Retail products

Sauces, frozen Yorkshire meals, gin collaborations:

£1m

Total Annual Revenue

£30.7 million

9. Five-Year Growth Forecast

Year	Restaurants	Revenue
Year 1	3	£8m
Year 2	5	£15m
Year 3	7	£21m
Year 4	10	£28m
Year 5	10	£31m

10. Cost Structure

Food Cost

Target:

28%

Year 5:

£31m × 28%

=

£8.7m

Labour

Restaurant staffing:

40 employees/location

400 employees total

Average employment cost:

£32k

=

£12.8m

Property Costs

Rent:

£2.5m

Central Operations

Marketing:

£1m

Administration:

£1m

Logistics:

£1m

Total Costs Year 5

Cost	Amount
Food	£8.7m
Labour	£12.8m
Rent	£2.5m

Cost	Amount
Operations	£3m
Total:	

£27 million

11. Profitability

Revenue:

£31m

Costs:

£27m

Operating profit:

£4 million

EBITDA Margin:

13%

Improved mature model:

18–22%

Potential EBITDA:

£5.5–6.5 million

12. Company Valuation

Restaurant groups typically valued:

8–12× EBITDA.

Using:

£6m EBITDA

×10

=

£60 million valuation

13. Employment Impact

Direct Employment

Per restaurant:

- General manager
- Assistant manager
- chefs
- servers
- kitchen staff

≈40 employees

10 restaurants:

400 jobs

Central kitchen:

50 jobs

Total:

450+ Yorkshire jobs

14. Local Supply Chain Impact

Annual procurement:

£8–10 million

from:

- Yorkshire farmers
- breweries

- dairies
 - seafood suppliers
 - food manufacturers
-

15. Tourism Strategy

The restaurants become tourism destinations.

Packages:

Yorkshire Food Experience

Includes:

- York Gin tasting
 - Yorkshire Fusion meal
 - heritage attraction ticket
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Yorkshire Railway Partnership

Partner with:

- heritage railways
 - luxury tourism trains
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16. Digital Expansion

Create:

Yorkshire Fusion Club

Subscription:

£10/month

Benefits:

- discounts
- priority booking
- events

Target:

50,000 members

Revenue:

£500k/year

17. Exit Strategy

Possible outcomes:

Option 1

Remain independent:

£60m valuation.

Option 2

Sell minority stake:

Private equity investment.

Option 3

National expansion:

100 locations across UK.

Investment Recommendation

Approve:

£18 million Yorkshire Fusion Restaurant Growth Facility

Expected five-year outcome:

Metric	Target
Restaurants	10
Revenue	£31m
EBITDA	£6m
Jobs created	450+
Company valuation	£60m

Strategic Vision

Bank of Leeds would not simply finance restaurants.

It would finance:

Yorkshire's first globally scalable hospitality brand.

The ambition:

Take Yorkshire food culture from the market square to the national high street.